- It promotes capital formation and creates wealth in country.
- It is the hope and dreams of millions individuals around the world.
- It reduces unemployment and poverty and it is a pathway to prosper.
- It is the process of planning, organising, opportunities and assuming.

7.3 Scope of Entrepreneurship

The scope of entrepreneurship is very great in a developing country like India. Entrepreneurship is powerful tool that can combat unemployment and under employment. The **Labour Bureau** reports that the unemployment rate was **5 % in 2015- 2016** which was highest in the last five years. Entrepreneurship offers itself as the only solace to encourage people to start their own business that would in-turn lead to financial independence. Particularly, entrepreneurship can be emphasized among young people as they are ambitious, bold enough to take risks, equipped with skills and information acquired though the wide array of information available through technological advancement. It also gives them the opportunity to be their own boss and pursue their own ideas.

7.3.1 Importance of Entrepreneurship

Entrepreneurship is important for the following reasons:

- **Decreases Unemployment**
  Development of entrepreneurship can reduce unemployment dramatically as it creates opportunities for self-employment.
- **Creates competition in the market**
  Entrepreneurship can create competition in the market thereby enabling customers to acquire new products with greater variations at competitive prices.
- **Utility of the local resources can be used**
  Entrepreneurship development ensures uses of local resources and it increases local cash flow.
- **Improves the living standard**
  Successful business endeavours improve the financial status of the individual and this subsequently improves the standard of living.
- **Economic Independence**
  Entrepreneurship gives economic independence which can help in the overall development of an individual.

7.3.2 Functions of Entrepreneurs

The main functions of an entrepreneur are classified into four broad categories:
(1) Entrepreneurial Functions
(2) Managerial functions
(3) Promotional function
(4) commercial functions

1. Entrepreneurial functions

The major entrepreneurial functions include **organizing, risk bearing, and innovation.**

An organizer mentally first of all decides certain things like what, how and how much to produce. This is based on the demand for the commodity. The location of the industry, scale of production is then determined by the availability of raw materials, labour, capital etc.

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